

Devon Energy Corporation

US Multi-Basin E&P — Variable Dividend + Low Cost Delaware Permian

PhD Due Diligence Report | BLRI-DD-DVN-AUG2026

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Six-Method Framework: Quantitative · Qualitative · Ethnographic · Superforecasting · Adversarial-Collaborative · Seldon Thesis

RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,453ch

PART I — SELDON THESIS AXIS

Devon Energy: Pioneer of the Variable Dividend Model

Devon Energy is a US multi-basin E&P operating in the Delaware Basin (Permian), Anadarko (Oklahoma), Eagle Ford, Powder River Basin, and Williston Basin. Devon invented the fixed+variable dividend model — paying a fixed base dividend plus a variable component tied to quarterly FCF, letting oil price upside flow directly to shareholders rather than into corporate acquisitions. At \$44.12 (mkt cap \$48.532B, P/E 9.59x, EPS \$4.17), DVN is the cheapest valuation in the E&P series. The Delaware Basin is Devon's crown jewel — 450,000 net acres with 5,000+ identified locations.

Source: moomoo OpenD [2026-08-13] · Devon Energy 10-Q EDGAR · Devon Investor Day 2025

PART II — QUALITATIVE ANALYSIS

Fixed+Variable Dividend: Returning Capital Not Chasing Scale

Devon's fixed+variable dividend model commits 50%+ of post-capex FCF to variable dividends. At \$70 WTI, Devon generates ~\$5-6/share in annual FCF, meaning the variable dividend can add \$2-3/share on top of the \$0.22/share fixed quarterly payment. Total shareholder yield (fixed + variable + buyback) has exceeded 10% in high-oil-price years. This model is superior to acquisitions in a volatile commodity environment — Devon returns cash when oil is high rather than overpaying for assets at cycle peaks.

Source: Devon Energy fixed+variable dividend framework · FCF payout policy disclosures · Delaware Basin well performance

PART III — QUANTITATIVE ANALYSIS

VALUATION SNAPSHOT [moomoo OpenD 2026-08-13]

Price: \$44.12 | Prev Close: \$44.86 | Mkt Cap: \$48.532B
EPS TTM: \$4.17 | Net Income: \$4.587B | Div Yield: 2.36%
52w: \$30.89–\$52.34 | Shares: 1,100.0M

Metric	Value	Source
Price (2026-08-13)	\$44.12	moomoo OpenD
Market Cap	\$48.532B	moomoo OpenD
EPS TTM	\$4.17	moomoo OpenD
Net Income TTM	\$4.587B	moomoo OpenD
P/E TTM	9.59x	moomoo OpenD
52-Week Range	\$30.89–\$52.34	moomoo OpenD
Shares	1,100.0M	moomoo OpenD
Div Yield	2.36%	moomoo OpenD

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PART IV — COMPETITIVE LANDSCAPE

Competitor	Type	Mkt Cap	vs DVN
EOG Resources (EOG)	Premium US E&P	\$74.5B	EOG technology moat; DVN cheaper valuation (9.59x vs 11x)
Diamondback (FANG)	Permian pure-play E&P	\$55.7B	FANG Permian focus; DVN more diversified basin exposure
ConocoPhillips (COP)	Large independent E&P	\$151B	COP 3x larger; DVN variable dividend superior capital return
Coterra Energy (CTRA)	Multi-basin E&P	~\$22B	CTRA Marcellus + Permian; DVN Delaware quality superior

PART V — ETHNOGRAPHIC PORTRAITS

FINDING F-5-A: Portrait 1: The Variable Dividend Income Investor (COMPOSITE)

A Houston energy analyst holds DVN for the variable dividend yield. 'At \$75 WTI I'm getting 8-10% total yield from DVN — fixed plus variable. No other E&P returns this much cash this consistently. I don't need Devon to grow; I need them to return cash.' Represents the capital-return-focused E&P investor who prizes Devon's fixed+variable model over growth-at-any-cost strategies.

COMPOSITE / ILLUSTRATIVE — drawn from US energy income investor patterns

FINDING F-5-B: Portrait 2: The Delaware Basin Completion Engineer (COMPOSITE)

A DVN completion engineer in Lea County, New Mexico completes a 10-well cube (stacked Wolfcamp A/B wells) using Devon's proprietary stimulation design. 'Our average IP-30 in the Delaware is 1,800 BOE/day per well — best in the basin. We're the Delaware experts.' Represents Devon's technical leadership in the Delaware Basin — where its decade-long operations create institutional geological knowledge that drives superior well productivity.

COMPOSITE / ILLUSTRATIVE — drawn from Delaware Basin Permian E&P patterns

FINDING F-5-C: Portrait 3: The Oklahoma Anadarko Basin Operator (COMPOSITE)

A DVN well operator in Canadian County, Oklahoma manages 85 STACK wells in the Anadarko play. 'Devon was here before shale was a word. We have 20 years of core data nobody else has.' Represents Devon's Anadarko Basin legacy position — a lower-priority but deeply understood asset that provides production diversification and optionality for different commodity environments.

COMPOSITE / ILLUSTRATIVE — drawn from Oklahoma Anadarko shale operational patterns

PART VI — ADVERSARIAL COLLABORATION (5 HYPOTHESES)

HH1: HH1: Oil falls to \$55 — variable dividend eliminated, share buyback suspended

EVIDENCE FOR:

WTI \$55; Devon FCF falls from \$4B to \$1.5B; variable dividend eliminated; fixed dividend \$0.22/quarter maintained; stock falls to \$34-37

EVIDENCE AGAINST:

Devon operates profitably at \$40 WTI on Delaware Basin wells; fixed dividend is defensible; balance sheet debt manageable

QUANTITATIVE TEST

$P(\text{DVN variable dividend eliminated for 2+ consecutive quarters within 24 months}) = 20\%$

VERDICT: BEAR — variable dividend elimination would remove the core investor thesis

Implication: Monitor WTI price; DVN FCF quarterly; variable dividend payout ratio

HH2: HH2: Delaware Basin cube development doubles production without acquisition

EVIDENCE FOR:

DVN's stacked Wolfcamp cube wells deliver 1.3M BOE/day by 2027 from Delaware alone; organic growth replaces M&A; variable dividend grows to \$3/share annually

EVIDENCE AGAINST:

Delaware stacked well interference between Wolfcamp A/B/C can impair productivity; cube development is technically complex

QUANTITATIVE TEST

P(DVN Delaware production >350,000 BOE/day by Q4 2027)=35%

VERDICT: BULL — Delaware organic growth is Devon's most capital-efficient upside

Implication: Monitor DVN Delaware production quarterly; stacked well performance disclosures

HH3: HH3: DVN acquires Chord Energy or Civitas to scale up

EVIDENCE FOR:

DVN uses balance sheet to acquire Chord (Williston) or Civitas (DJ Basin) at cycle-low multiples; production grows 20%; but variable dividend reduced as FCF allocated to acquisition paydown

EVIDENCE AGAINST:

Devon CEO has committed to capital discipline over growth acquisitions; fixed+variable model penalises shareholders if acquisitions reduce FCF return

QUANTITATIVE TEST

P(DVN acquisition >\$10B announced within 18 months)=15%

VERDICT: NEUTRAL — acquisition risk vs discipline is the key management quality test

Implication: Monitor DVN balance sheet leverage; management acquisition comments on earnings calls

HH4: HH4: NGL price spike adds \$1B+ to DVN revenue

EVIDENCE FOR:

Natural gas liquids (ethane, propane) price spike from petrochemical demand; DVN Delaware's 35% NGL content generates windfall \$1B+ vs base case

EVIDENCE AGAINST:

NGL price is volatile and not correlated with oil; petrochemical demand cycles are hard to predict

QUANTITATIVE TEST

P(DVN NGL revenue >\$2B annually by 2027)=25%

VERDICT: BULL — NGL windfall is an underappreciated DVN FCF optionality

Implication: Monitor NGL pricing (Mont Belvieu); Devon NGL production volume disclosure

HH5: HH5: STACK/Anadarko wells underperform — Devon writes down Oklahoma

EVIDENCE FOR:

Legacy Oklahoma wells decline faster than planned; Anadarko formation water-cut increases; Devon writes down Oklahoma assets \$2B+

EVIDENCE AGAINST:

Anadarko wells are fully depreciated legacy assets — writedown does not affect FCF; Devon has been rationalising Oklahoma for years

QUANTITATIVE TEST

P(DVN Oklahoma asset impairment >\$1.5B before end 2027)=15%

VERDICT: BEAR — non-cash impairment, but signals capital misallocation risk

Implication: Monitor DVN Anadarko production decline rate; write-down history

PART VII — SUPERFORECASTING (10 SCENARIOS)

SCENARIO 1: Variable dividend recovery at \$75+ WTI (P = 30%%)

WTI \$75+; variable dividend \$2/share annually; total yield 7%+; stock \$50-55 on re-rating

Driver: WTI price; Devon FCF; variable dividend announcement

Falsifier: Oil falls; variable dividend eliminated; thesis removed

SCENARIO 2: Delaware cube development + NGL windfall (P = 20%%)

Delaware 350K+ BOE/day + NGL \$2B revenue; FCF \$6B; special dividend \$3/share; stock \$55+

Driver: Delaware production; NGL pricing; Devon FCF

Falsifier: Well interference in stacked zones; NGL prices collapse

SCENARIO 3: Base case: \$65-75 oil, variable dividend maintained (P = 38%%)

DVN executes Delaware development; variable dividend \$1-1.50/share; stock holds \$40-50

Driver: Quarterly FCF; variable dividend; WTI trajectory

Falsifier: WTI falls to \$55; variable dividend suspended; stock \$34-37

SCENARIO 4: Acquisition of Chord or Civitas (P = 8%%)

DVN makes \$10B+ bolt-on acquisition; production grows; but variable dividend reduced for 2 years; stock \$42-48

Driver: DVN M&A announcements; management comments

Falsifier: Devon maintains discipline; no acquisition; capital return maximised

SCENARIO 5: Oil supercycle — variable dividend \$5/share (P = 8%%)

WTI \$95+; DVN FCF \$8B+; variable dividend \$5/share; total yield 15%+; stock \$65+

Driver: OPEC+ supply shock; WTI supercycle

Falsifier: US shale ramps to suppress oil; variable dividend capped by FCF formula

SCENARIO 6: Oklahoma Anadarko writedown (P = 8%%)

Devon writes down Oklahoma \$2B+; non-cash but signals capital erosion; stock \$40-44 on sentiment

Driver: Oklahoma production decline; well productivity

Falsifier: Anadarko low-cost maintenance capex extends life economically

SCENARIO 7: NGL petrochemical demand boom (P = 12%%)

Asian petrochemical capacity creates US propane/ethane demand; NGL prices double; DVN NGL revenue \$2.5B; stock \$55+

Driver: Asian NGL import demand; Mont Belvieu pricing

Falsifier: LPG oversupply from Middle East; NGL prices suppressed

SCENARIO 8: DVN carbon capture partnership in Delaware Basin (P = 10%%)

DVN partners with XOM/Denbury for Delaware Basin CO2 EOR (enhanced oil recovery); simultaneous oil production + CO2 sequestration; ESG upgrade; IRA credits

Driver: DVN sustainability disclosures; EOR announcements

Falsifier: Delaware Basin geology not suitable for CO2 EOR; XOM Denbury focused on Gulf Coast

SCENARIO 9: PE multiple re-rates to 12x from 9.59x (P = 20%%)

Market re-rates E&P quality; DVN 12x P/E = \$50/share; no change to fundamentals, just multiple expansion

Driver: E&P sector P/E multiple trend; DVN vs peer gap

Falsifier: E&P sector remains at discount to market; DVN 9x persists

SCENARIO 10: Bull case: DVN = \$65+ by 2028 on all catalysts (P = 4%%)

Delaware cube + NGL windfall + \$90 oil + P/E 14x = \$65+

Driver: All upside catalysts simultaneously

Falsifier: Oil falls; variable dividend eliminated; Oklahoma writedown

PART VIII — SELDON VARIABLE DEEP DIVE

Variable	DVN Impact	Direction	Magnitude
Ω	Fossil production; variable dividend model doesn't reduce Ω	↑ Increases	Ω-plus moderate
ξ	Capital return to shareholders via variable dividend — wealth distribution mechanism	↑ Mild	ξ+ minor
K	Multi-basin E&P sustains industrial energy supply during transition	↑ Transitional	K+ transitional
I	Capital discipline model improves E&P sector institutional quality	↑ Mild	I+ marginal

PART IX — RISK REGISTER

Risk	Probability	Impact	Mitigation
Oil price decline to \$55	MEDIUM (20%)	HIGH	\$40/BOE breakeven; fixed dividend defensible; balance sheet
Variable dividend elimination	MEDIUM (20%)	HIGH	FCF formula transparent; investors understand cycle
Oklahoma Anadarko writedown	LOW (15%)	MEDIUM	Non-cash; FCF not impaired by legacy writedown
Acquisition discipline failure	LOW (15%)	MEDIUM	Management committed; fixed+variable model penalises M&A
Delaware well interference	LOW (12%)	HIGH	Cube spacing optimisation; Devon has most cube data

CONCLUSION — 6-METHOD SYNTHESIS VERDICT

CONVICTION VERDICT: DEEP VALUE E&P — 9.59x P/E, VARIABLE DIVIDEND MODEL,

DELAWARE QUALITY

DVN at \$44.12 (mkt cap \$48.532B, P/E 9.59x) is the cheapest quality E&P in the series. Fixed+variable dividend model is superior capital return framework. Delaware Basin cube development is the organic growth catalyst. 9.59x P/E is deep value if oil stays \$70+; variable dividend is the proof point. Seldon: Ω -plus (fossil); capital return model is E&P best practice. HUMAN_ONLY_MANUAL. All figures: moomoo OpenD [2026-08-13]. RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,555ch.